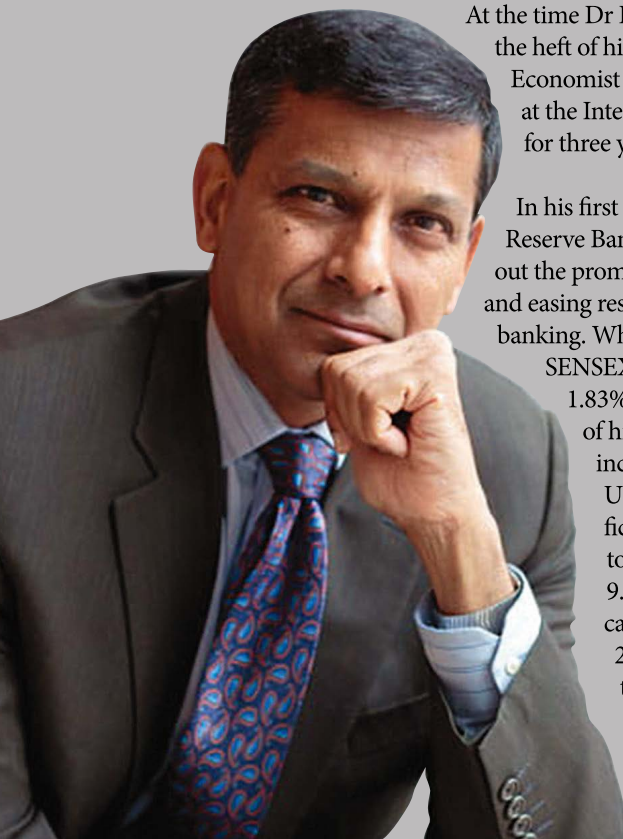


Not fairness but geopolitics— India should tread cautiously while navigating negotiations with Washington

“ India should not be dependent on anybody to a large extent. Trade has been weaponised. Investment has been weaponised. Finance has been weaponised. We must diversify our sources of supply and markets of export ”

—Dr Raghuram G. Rajan

Former RBI Governor and Katherine Dusak Miller Professor of Finance, Chicago Booth School of Business



A globally renowned Indian economist, Dr. Raghuram Govind Rajan is presently the Katherine Dusak Miller Distinguished Service Professor of Finance at Chicago Booth. Chicago Booth is a global business school with a strong, collaborative, and impactful alumni network. Not many people are aware that University of Chicago Booth School of Business is the destination for leaders who want to change the world— something which resonates with all of us in these strained economic and geopolitical times.

Dr Rajan who served as the 23rd Governor of the Reserve Bank of India and plunged into the turbulence of this challenging role in a 3-year tenure from September 2013 to September 2016. Prior to that, for a year he was the Chief Economic Advisor to the Finance Ministry. In 2007, Rajan was deputed by Montek Singh Ahluwalia, the Deputy Chairman of the Planning Commission, to prepare a report outlining the upcoming wave of financial sector reforms in India.

At the time Dr Rajan was also backed by the heft of his learnings as the Chief Economist and Director of Research at the International Monetary Fund for three years.

In his first speech as Governor of the Reserve Bank of India Dr Rajan held out the promise of banking reforms and easing restrictions on foreign banking. What resulted was the BSE SENSEX increasing by 333 points/ 1.83%. After the very first day of his holding office the Rupee increased 2.1% against the US Dollar. Rajan in his official capacity gave priority to reducing inflation; from 9.8% in September 2013, it came down to 3.78% in July 2015, an all-time low since the 1990s. Furthermore, it dipped to a historical low from 6.1% in September

2013 to -4.05% in July 2015, representing the wholesale inflation decrease. With his tenure at an end, on June 18, 2016, Rajan decided to hang up his boots as RBI governor and returned to the serene hallways of academia.

In August 2025, responding to Washington's decision to levy 50 per cent tariffs on Indian products, alongside an additional 25 per cent penalty linked to India's purchase of Russian oil, Professor Dr Rajan was of the opinion that while it was 'deeply distressing it was a clear "wake-up call" for India to reduce its reliance on any single trade partner. He stressed that the issue was not fairness but geopolitics-- pointing out that India "should not be dependent on anybody to a large extent. Trade has been weaponised. Investment has been weaponised. Finance has been weaponised. We must diversify our sources of supply and markets of export." He further urged India to see the crisis as an opportunity.

Rajan, who has a considerable following as an astute commentator and writer in his forte, has snagged early recognition by the Research Papers in Economics Project, which ranks him amongst the most significant economists in the world.

Dr Rajan's body of work includes a wide array of published articles on organizational structures, corporate finance, growth and development, and banking. In his book *The Third Pillar: How Markets and the State Leave the Community Behind*, Rajan makes a case for rethinking the relationship between the market and civil society and argues for a return to strengthening and empowering local communities as an antidote to growing despair and unrest.

Accolades have come his way aplenty, amongst them the "Governor of the Year Award 2014" from London-based financial journal *Central Banking* in 2014.